

Executive Summary:

- **Macro & Monetary Pivot:** Divergent data emerged as US headline CPI cooled to 3.4% in July, yet long-duration fiscal anxiety pushed the US 30-year bond yield to 5.216% - its highest level since 2001 - reflecting steep term-premium demands for expanding deficit funding.
- **Geopolitical Maritime Escalation:** Kinetic conflict in the Red Sea and Gulf of Oman (including a fatal Houthi cargo ship strike and US missile deployment against a blocked vessel) drove Brent crude up to \$88/bbl, while safe-haven asset Gold advanced significantly to end the week at \$4,400/oz.
- **UK Fiscal & Structural Overhaul:** Confronting an estimated £4bn heatwave output loss and negative Hormuz war growth projections, Prime Minister Burnham is considering a sweeping replacement of council tax and stamp duty with a Land Value Tax to insulate public defence, energy, and social care spending.

Market Dashboard:

Asset Class	Financial Benchmark	10 Aug	11 Aug	12 Aug	13 Aug	14 Aug	Weekly Delta (%)
Equities	S&P 500	7,757	7,733	7,728	7,748	7,798	+0.53%
	FTSE 100	10,874	10,844	10,826	10,795	10,731	-1.31%
Fixed Income	US 10-year	4.66%	4.68%	4.68%	4.68%	4.64%	-2bps
Commodities	Brent Crude Oil	84	88	89	87	88	+4.76%
	Gold Spot	4,396	4,442	4,467	4,426	4,400	+0.09%

Macro-Economic & Central Bank Policy:

United States: Softening Headline CPI vs. Structural Fiscal Stress

- **Inflation Tracking:** Headline CPI cooled down to 3.4% in July. Core CPI (excluding food and energy) expanded by 0.2%, settling at 2.5% annually. While the cooling data dampens the immediate pressure for imminent Federal Reserve rate hikes, soft employment metrics leave policy trajectory highly data-dependent.
- **Capex & Structural Pressure:** Massive liquidity allocations continue to run through tech supply chains, highlighted by Nvidia securing \$500bn to finance ongoing AI infrastructure CapEx, which analysts note will keep upward secular pressure on domestic inflation.
- **Yield Curve Tail Risks:** The long end of the curve experienced sharp technical selling as the 30-year US Treasury yield surged to 5.216%, its highest print since 2001. This underscores intense investor demands for elevated term premiums to absorb persistent fiscal deficits and long-range inflation risks.

United Kingdom: Climate Drag, Fiscal Overhauls, and War Modelling

- **GDP Performance:** UK Q2 GDP expanded by 0.4%, indicating short-term commercial resilience against high energy inputs. Growth was heavily driven by high retail, hospitality, and advertising spend fuelled by the World Cup and hot weather.
- **Climate & Geopolitical Headwinds:** The ongoing UK heatwave is estimated to have scrubbed £4bn in lost output from the economy (an increase of £2.36bn since June). Separately, internal Treasury modelling shows that if the Strait of Hormuz conflict persists through year-end, UK 2027 GDP growth could collapse to 0.3%, suppressing equities valuations and spiking core inflation.
- **Taxation & Revenue Reforms:** To fund ballooning defence requirements and social care systems, PM Burnham is actively reviewing plans to entirely abolish stamp duty and council tax, replacing them with a national Land Value Tax. Further intervention strategies include public price control mechanisms over energy, housing, and water, alongside an explicit 40% cut in direct foreign aid to fragile nations in Africa and the Middle East to balance domestic accounts.

Sector Update:

Consumer & Retail:

- **Harvey Nichols Restructuring:** Following a devastating £105m after-tax net loss in 2025 and a subsequent June sale launch to avoid insolvency, the luxury retailer has been officially acquired by Mike Ashley's Frasers Group for an estimated deal value of £40m, beating out rival frontrunner Next.
- **Sainsbury's Group / Retail Carve-outs:** (From preceding pipeline updates) Integration planning for the £120m Argos disposal to Swift Partners continues toward a 2027 closing target.

Automotive & Industrial Competition

- **Chinese EV Penetration:** Despite the implementation of a defensive 35% import tariff, Chinese EV manufacturers achieved a massive surge in European vehicle deliveries during the first five months of the year. This structural volume shift is compounding distress across European OEM manufacturing lines, provoking urgent domestic industrial lobbying for much higher retaliatory trade walls.

Healthcare & Biotech M&A

- **AstraZeneca / Bristol Myers Squibb:** The proposed high-profile sector tie-up between AstraZeneca and Bristol Myers Squibb has been completely abandoned. The transaction collapsed following an intense, coordinated institutional investor revolt.

TMT & FinTech Digital Infrastructure

- **Revolut Banking Scale-up:** FinTech unicorn Revolut successfully secured a formal banking licence in France. This structural win materially upgrades its post-Brexit regulatory profile inside the EU, paving a clear runway to seamlessly distribute balance-sheet banking products throughout continental Europe.

Utilities & Infrastructure Finance

- **Regulated Capital Spend:** Sector regulator Ofwat authorized 13 water companies across England and Wales to claw back an aggregate £3.4bn from

consumer billing. The capital injection is legally earmarked to fund critical environmental infrastructure repairs and supply security networks.

10th August 2026

SNP 7757
FTSE 10874
10y 4.66%
Oil 84
Gold 4396

Top Stories:

- Chinese EVs sold a surge in vehicles sold in Europe during the first five months of the year despite the 35% import tax. This Chinese penetration is intensifying competitive pressure on European automakers and feeding calls for higher tariffs in order for European brands to gain more purchasing power.
- Harvey Nichols could run out of money within a year. They have put themselves up for sale in June and have received a number of bids despite their 105m after tax loss in 2025. Retail group Next and Mike Ashley Frasers Group are frontrunners to buy the business for around 40m.
- Revolut received a banking licence in France, accelerating their European expansion plans. This license strengthens their regulatory standing inside the EU, which is important after Brexit. It would be easier for the firm to sale banking services in the European markets.

11th August 2026

SNP 7733
FTSE 10844
US 10y 4.68%
Oil 88
Gold 4442

Top stories:

- Nvidia have received 500bn to finance their AI infrastructure Capex. This will still be impacting the US inflation line.
- Attacks in the middle east continue as a small cargo ship was struck in the Red Sea killing and injuring people. Speculation say it was the Houthis that attacked the ship. As a result, oil prices bounced up to \$88.

12th August 2026

SNP 7728
FTSE 10826
US 10y 4.68%
Oil 89
Gold 4467

Top Stories:

- A US helicopter fired missiles into a Panama flagged ship attempting to pass through the Gulf of Oman after repeated warnings were ignored.
- AstraZeneca and Bristol Myers deal is off the table after investors revolted against it
- The UK heatwaves is estimated to cost the economy more than 4bn in lost output, which is up 2.36bn after June. If the heatwaves continue to intensify at the current rate then annual cost could exceed 25bn by 2030. This calls for the government to take action by including a maximum working temperature, compensation for workers forced to cut hours, and investment in urban redesign to create cooler spaces.
- Andy Burnham considering replacing council tax and abolishing stamp duty in favour of a land value tax to help fund social care and higher defence spending.
- The PM acknowledges that his recent cost of living announcements won't be enough and is looking for additional support with potential overhaul of rail fares and increased public control of energy, water and housing.

13th August 2026

SNP 7748

FTSE 10795

US 10y 4.68%

Oil 87

Gold 4426

Top Stories:

- US CPI cooled to 3.4% in July. Core CPI, which excludes food and energy, rose to 2.5% and gained 0.2%. Near-term pressure to raise rates is reduced by the headline slowdown but weak employment and core inflation still leave the path for policy uncertain
- Treasury modelling shows that if the Hormuz war continues until the end of 2026, UK GDP growth could be as low as 0.3% in 2027. This scenario will weaken the UK growth outlook and lift inflation, complicating economic management and household finances, as well as cause low valuations.
- UK economy expanded 0.4% in Q2 suggesting firms and activity may be absorbing higher energy costs without an immediate contraction in output. Firms cited that the World Cup and hot weather boosted retail, hospitality and advertising, though the heat impacted construction and schools.

14th August 2026

SNP 7798

FTSE 10731

US 10y 4.64%

Oil 88

Gold 4400

Top Stories:

- The 30 year US bond yielded 5.216%, the highest level for that maturity since 2001, signalling investors demand for a larger premium to hold long US debt amid inflation and fiscal concerns. The market senses that inflation may remain high and that interest rates may hike. This will increase the funding costs for the US Treasury as it financing a growing deficit.
- Harvey Nichols bought by Mike Ashley's Frasers Group
- The UK has cut direct aid to fragile states in Africa, and the Middle East including South Sudan, Somalia and Afghanistan, by more than 40%, causing potential budgetary strain to those countries as a result.
- Water bills are set to rise for many after Ofwat allowed 13 water companies in England and Wales to recover an extra 3.4bn from customers to fund infrastructure and environmental work.
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